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Chapter 4: Entrepreneurial Skills-I

Detailed Answers

1. Who is an entrepreneur?

Answer:

An **entrepreneur** is a person who identifies a business opportunity, develops an idea, takes calculated risks, and organises resources to start and manage a business or venture. An entrepreneur tries to solve a problem or fulfil a need by providing useful products or services.

For example, if a person notices that people in an area need affordable home-delivery services and starts a small delivery business to meet that need, the person is acting as an entrepreneur.

An entrepreneur generally:

1. **Identifies opportunities** in the market.
2. **Develops new ideas** or improves existing products and services.
3. **Takes calculated risks** to achieve a goal.
4. **Organises resources** such as money, people, materials, and technology.
5. **Creates value and employment** through the business.

Thus, an entrepreneur is not simply someone who starts a business; they are also someone who identifies opportunities and works to turn ideas into useful products or services.

2. Write any four characteristics of a successful entrepreneur.

Answer:

A successful entrepreneur needs several qualities to start and manage a business effectively. Four important characteristics are:

1. Self-confidence:

An entrepreneur should believe in their abilities and ideas. Self-confidence helps them make decisions and face challenges.

2. Creativity:

An entrepreneur should be able to think of new ideas and find better ways to solve problems. Creativity can help a business stand out from others.

3. Risk-taking ability:

Starting a business involves uncertainty. An entrepreneur should be willing to take **calculated risks** after considering the possible advantages and disadvantages.

4. Decision-making ability:

An entrepreneur has to make many decisions about products, customers, money, employees, and business plans. Good decision-making helps the business move in the right direction.

Other important qualities include **hard work, leadership, patience, problem-solving ability, adaptability, and a positive attitude.**

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3. What is entrepreneurship? How is it useful for society?

Answer:

Entrepreneurship is the process of identifying an opportunity, developing a business idea, organising resources, and taking calculated risks to create a product, service, or business.

Entrepreneurship is useful for society in many ways:

1. **Creates employment:** New businesses can provide jobs to other people.
2. **Provides products and services:** Entrepreneurs fulfil the needs and wants of customers by providing useful products and services.
3. **Encourages innovation:** Entrepreneurs often introduce new ideas, technologies, products, or methods of working.
4. **Supports economic development:** Successful businesses contribute to economic activity and generate income.
5. **Solves problems:** Entrepreneurs can develop solutions to problems faced by people and communities.

For example, a person who starts a business that provides affordable solar-powered products may help people while also creating employment opportunities.

Therefore, entrepreneurship benefits both the **entrepreneur and society**.

4. What is the difference between a businessperson and an entrepreneur?

Answer:

A **businessperson** and an **entrepreneur** both may operate businesses, but their approach and objectives can be different.

Businessperson	Entrepreneur
Usually focuses on running and managing an established business.	Often focuses on identifying opportunities and creating a new venture.
May use existing business models and products.	May introduce new ideas, products, or methods.
Usually aims to earn profit through business activities.	Aims to create value and may also focus on solving problems through innovation.
May prefer a more familiar and tested approach.	Often accepts calculated risks associated with new ideas.
Example: A person managing a traditional retail shop.	Example: A person developing a new online service to solve a customer problem.

However, the two terms can overlap. An entrepreneur can become a businessperson as their venture grows, and a businessperson can also demonstrate entrepreneurial qualities by introducing innovative ideas.

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5. Why is risk-taking considered an important quality of an entrepreneur?

Answer:

Risk-taking is important because starting or developing a business involves **uncertainty**. An entrepreneur may not always know whether a new product, service, or business idea will be successful.

Risk-taking helps an entrepreneur:

1. **Try new ideas:** Entrepreneurs need to experiment with new products and services.
2. **Take advantage of opportunities:** Some opportunities require action even when the result is uncertain.
3. **Overcome challenges:** Entrepreneurs may face competition, financial difficulties, or changes in customer needs.
4. **Grow the business:** Taking suitable risks can help a business expand and reach new customers.
5. **Learn from experience:** Even when a decision does not produce the expected result, an entrepreneur can learn from it and improve future decisions.

However, an entrepreneur should not take **blind or unnecessary risks**. Good entrepreneurs study the situation, consider possible outcomes, and take **calculated risks**.

6. Suppose a student notices that many students in the school need affordable stationery. How can the student use this opportunity to develop an entrepreneurial idea?

Answer:

The student can turn this need into a small entrepreneurial idea by starting an **affordable stationery service** for students. The student should first understand what stationery items are needed and then make a simple plan.

The student can follow these steps:

1. **Identify the need:** Find out which products students need most, such as pens, pencils, notebooks, erasers, rulers, and files.
2. **Conduct a small survey:** Ask students about the products they need, their preferred brands, and the prices they can afford.
3. **Find suppliers:** Compare different suppliers and find good-quality stationery at reasonable prices.
4. **Set affordable prices:** Keep prices reasonable while ensuring that the business can make a small profit.
5. **Plan the selling method:** With proper school permission, the student could arrange a small stationery counter or take orders and provide the items at an agreed time.

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6. **Promote the idea:** The student can inform classmates through appropriate school-approved methods.
7. **Take feedback:** Ask students which products they like and what additional stationery they need.

For example, if many students regularly forget pens or need notebooks, the student could keep these items available at affordable prices. This idea would **solve a real problem, provide a useful service, and teach the student important entrepreneurial skills** such as planning, decision-making, communication, and money management